



GSU Executive Note - China Shock 2.0

China's surplus production has benefited from economic slowdowns affecting many economies in the current global environment. Lower-priced Chinese imports can sustain consumer purchasing power, particularly during periods of weak growth and constrained household budgets.

However, the same process can weaken domestic industrial expansion. Cheap imports compress margins for local manufacturers, reduce investment incentives, and increase the risk of job losses in labour-intensive sectors.

In sectors such as furniture, EV-related products, electrical equipment, plastics, and rubber, the influx of lower-priced imports can sustain consumer demand while slowing domestic production growth. The result is an economic imbalance in which consumption remains resilient even as domestic manufacturing ecosystems weaken.

India at a Strategic Cross Roads

India and other export-oriented economies face a particularly complex version of this dynamic. Sustained import penetration in these sectors can place pressure on domestic employment and upstream suppliers.

- India has increased its automotive industry outputs by 33% from 2021 to 2025.
- From 2015 to 2025 India's electronic manufacturing industries grew nearly 500%, specifically the mobile manufacturing sector increased "28-fold" at nearly 3,000% in the last decade.
- A focus on its successful service industries has promoted stable job growth, but this has come at the expense of a more diverse labor market to combat the China Shock 2.0.
- As India increases its presence in the space and aviation sectors, the revenue earned from satellite development (\$433 million from 2014-2024) emphasises India's capabilities in making cost-efficient yet reliable infrastructure for countries needing the technology. This is the exact type of skills and value addition India can export out to diversify and increase its value chain.

This kind of growth has gotten India where it is today, as one of the fastest growing manufacturing and export markets in the world, yet there is a stagnation occurring as cheap Chinese goods flood the international market once again. This is where trade and supply chain diversification become important for India as it must put more attention towards other industries and fixing what's lacking most (see the FDI section for more)

At the same time, India remains in a stage of industrial expansion, meaning that cheap imports do not necessarily have the same effects as in mature manufacturing economies. Under certain conditions, low-cost imports can help domestic firms scale production, acquire machinery, and reduce input costs.

India therefore finds itself at a strategic crossroads during a period of slower global growth, involving:

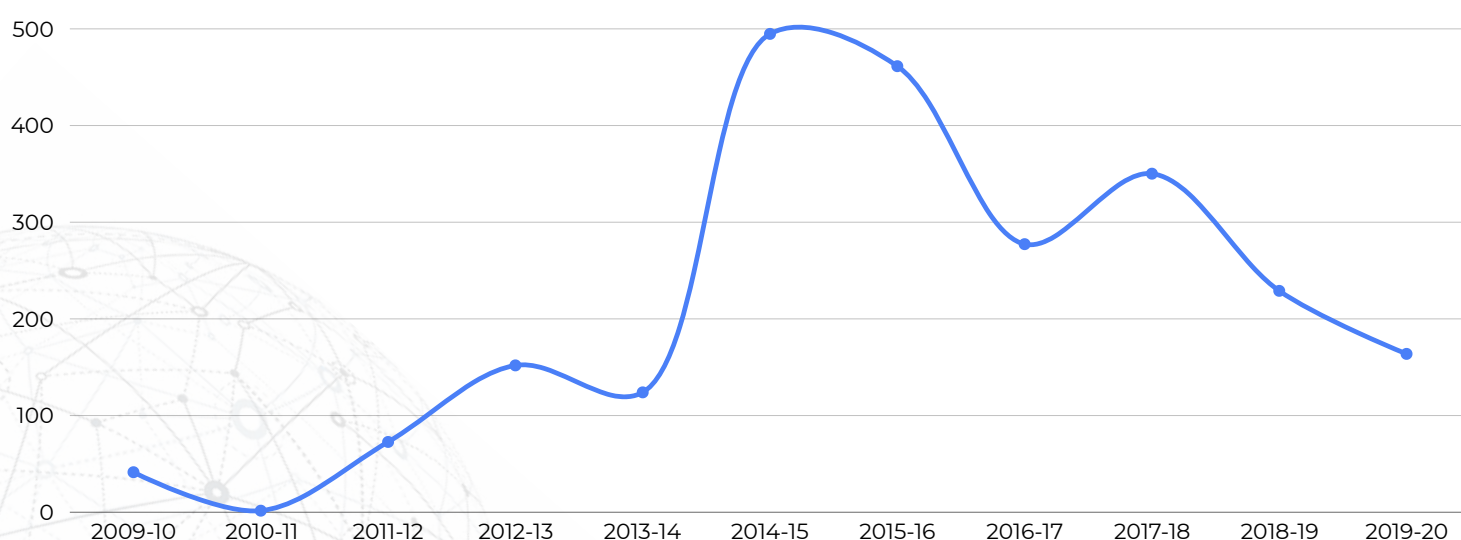
- Expanding workforce capacity and domestic production
- Diversifying supply chains while subsidizing domestic manufacturing ecosystems

The central challenge is balancing these approaches to strengthen long-term industrial competitiveness while addressing short-term pressures from rising export competition.

During the covid-19 pandemic, Press Note-3 was imposed to shield Indian industries from opportunistic takeovers. The People's Bank of China bought 1% of HDFC Bank, which triggered this decision.

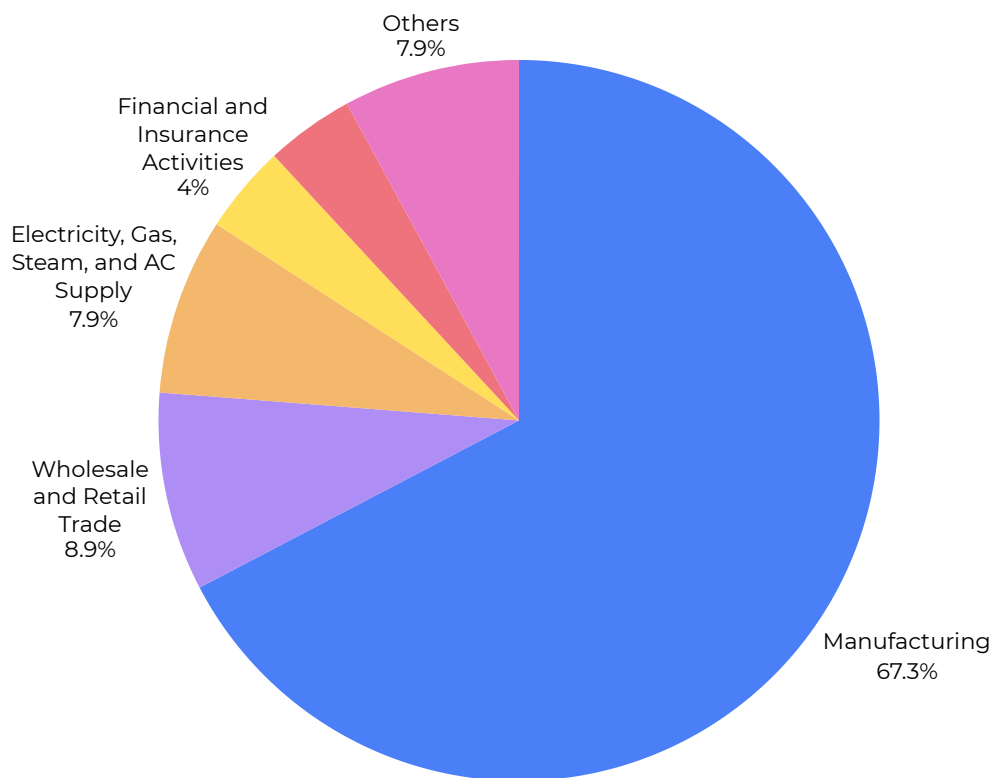
- Between 2016 and March 2025, India received about US\$ 954 million in FDI from China, with inflows falling from US\$ 210 million in 2016 to just US\$ 3.7 million in 2024. Over two-thirds of these investments went into manufacturing, led by motor vehicles (18%), electrical equipment (17%), and computers & electronics (14%).
- Chinese investments occurred entirely through an automatic route. But with Press release 3 that was imposed to protect Indian industries during Covid- 19, FDI inflows through the automatic route declined from US\$ 96.4 million in 2020 to just US\$ 0.64 million in 2025 (till March).
- Meanwhile, FDI through the government route, which had remained nearly dormant earlier, began to show some activity, peaking at US\$ 8.53 million in 2022. However, The economic survey 2023-24 set the tone for relaxation of these restrictions as it was recognized that a more pragmatic approach would be to reduce overdependence on imports by encouraging greater Chinese FDI in India's manufacturing sector.
- In addition to providing essential capital, these investments will enhance India's manufacturing capabilities and support the "Atmanirbhar Bharat" initiative by fostering a more conducive environment for domestic manufacturing.

Chinese FDI Inflows into India



Source: Times of India

Sectoral Distribution of FDI Inflows from China to India

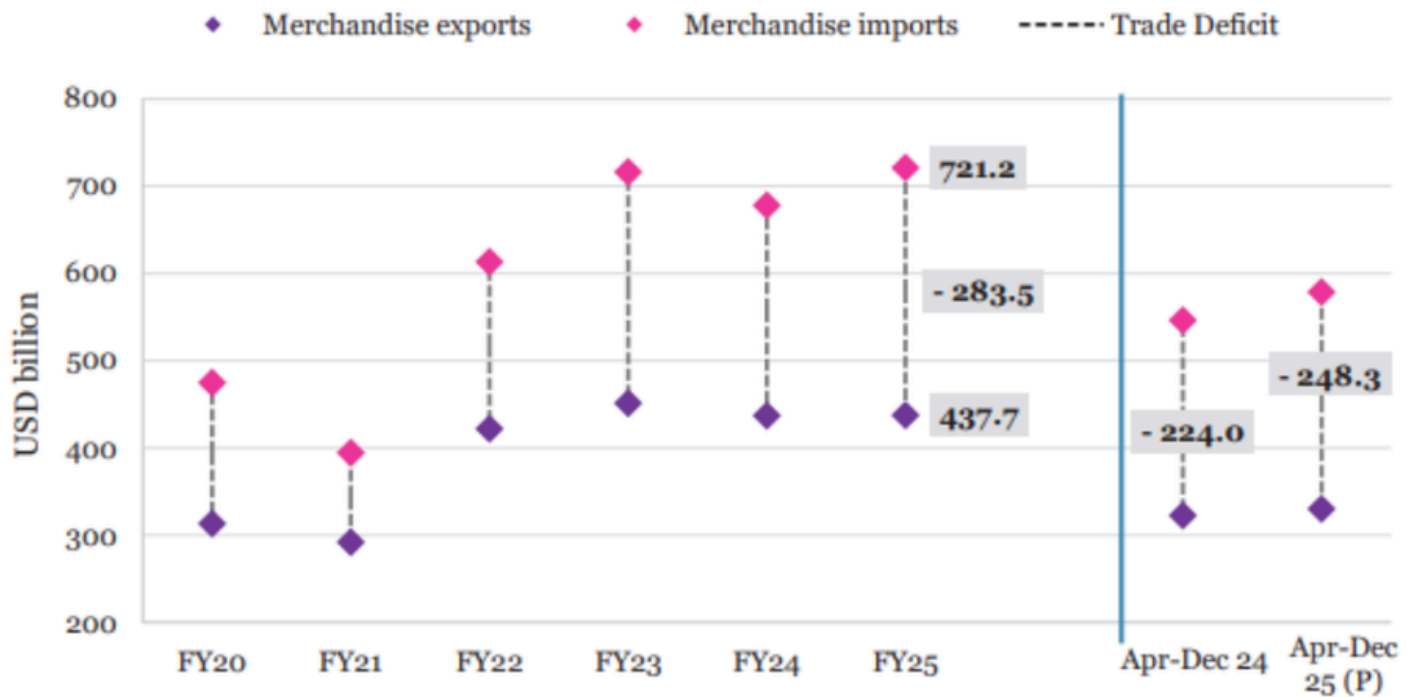


GSU Analysis Using DPIIT and NIC Data

By relaxing FDI, India is following the GSU recommendation to trade sovereign isolation for value-chain dominance. The country is no longer just blocking Chinese goods; it is absorbing their capital to fix our labor/skill weak spots, while simultaneously tapping into the global tech migration to elevate their R&D standing. There has been an influx of US tech workers migrating to Europe, and India can utilize this shift to attract a skilled workforce but also as a target for direct Indian R&D (RTD) collaboration. The important part this time around, is that the Indian government will have to strategically import from China to avoid the financial losses they potentially face from automatic FDI routes.

- By allowing a 10% 'beneficial ownership' threshold through the automatic route for non-controlling stakes, India is unblocking billions in global capital that was previously stalled due to minor Chinese limited partner interests.
- The implementation of a 60-day clearance deadline for sectors like capital goods, electronic components, and solar inputs (polysilicon) is a major shift from the previous indefinite wait times. This new 'Fast-Track' mechanism is the practical engine behind the GSU's recommendation to absorb Chinese technology while maintaining security oversight.
- In the first half of FY 2025-26, India hit a record \$418.9 billion in total exports, with Electronic Goods growing by 38-41%, as reported by different sources. This shows how the 'Value Chain' focus is already working. The goal now is to use the relaxed FDI to ensure the components of these electronics are made in India, not just the final casing.

India's Merchandise Trade Performance (2020-2025)



Source: Department of Commerce

Trade Diversification and Dumping Risks

Chinese dumping concerns become particularly relevant in the context of geopolitical trade tensions. As tariffs and restrictions redirect Chinese exports away from certain markets, surplus production increasingly enters alternative markets, including emerging economies.

In this environment, fast-growing markets such as India may become primary destinations for diverted exports. While this creates risks for domestic industries, it also presents opportunities, especially for high-tech if managed strategically. Potential opportunities include:

- Expanding international value addition through multi-lateral labour export schemes from domestic manufacturing/other industries' skill-sharing.
- Strengthening workforce skills and technology transfer through subsidiaries, incentive schemes, and risk-mitigation trade deals with countries facing slowed economic growth and a demand for materials from industries that thrive in India.
- Leveraging free-trade agreements, as there have been 9 major Free Trade Agreements spanning 38 countries made by India with other countries since 2021, to expand export capacity. This can be used in combination with the approaches already stated. But appealing to the regulatory demands of large-scale customers and partners is another type of incentive that India can employ, offering domestic job growth.
- Scaling manufacturing output in sectors where India can compete globally. This will require direct investment to increase jobs and funding toward certain sectors but can also be a great internationally targeted opportunity to increase as a foreign presence and diversify the workforce in line with Western and highly developed countries. Appealing to a battered global economy in both economics and PR here.

Such initiatives can also strengthen India's global presence and diversify the workforce in alignment with developed markets.

Structural Position - RAO Analysis

The GSU's RAO framework highlights key structural contrasts between China and India.

China maintains advantages in trade scale (6.78), industrial maturity (innovation score of 6.75), and capital availability (9.29). However, India's trajectory shows increasing market openness (6.08), digital economic growth (6.57), and rising levels of international business trust (4.46).

In addition to this, the removal of Press Note 3 presents opportunities for India to mitigate its significant vulnerabilities in labor market structure (2.58/10 according to the RAO index). Hence, the country must leverage cheap imports to augment its own manufacturing infrastructure while diversifying its value chain.

These factors create potential for India to position itself not merely as a consumer market for surplus exports but as an alternative manufacturing hub within global supply chains.

Overall Direction

Addressing import penetration risks requires a balanced approach combining trade oversight with long-term industrial policy. After the removal of Press Note 3, steps towards growth as suggested can be taken with the relaxed laws around FDI. India can strengthen its position through:

- Value addition often through skill sharing, in addition to goods, India can export its own workforce through its FTA relationships and vice versa. This essentially means that India can send its experts under the guise of training and adding value to countries facing manufacturing sector losses and a decline in job rates.
- Rather than focus on what they do best already, this can be a great opportunity to utilize FDI and strengthen weaker sectors in the economy to mitigate risk, such as growing and globally connecting their labor market and increasing their fiscal stability which is a huge step forward from the removal of Press Note 3.
- Sustainability and regulatory enforcement to ensure fair competition. India's societal shift to sustainability has been more of a PR move in the public sector, opening to majority Indian-owned FDI can allow for more sustainability industries and corporate social responsibility sectors to grow, in turn growing sectors outside of manufacturing and getting more direct involvement in the different scales of work other countries export.
- Incentives for weaker domestic sectors to strengthen manufacturing capacity, India can also incentivize or "import" its own talent. This is a good retaliation to the effects of Chinese surplus in goods. Inspired by China's playbook, India can export its laborers and skill sharing to help countries produce their own cheaper goods, while retaining profits, and circumventing over reliance on China at the expense of their GDP growth.
- Supply chain diversification and workforce skill development, now that India has opened back up to China, cheaper goods can be used to subsidize, as well as incentivize other sectors within the economy so India's manufacturing input from China can go from the 68 percentile observed in the last decade within China's FDI in India and sort out the imbalance so there is not just one cheap/valuable/sustainable market to work with from import-heavy and economically recessing countries. This, in turn, would not only increase India's value chain but also diversify it and increase business trust, supportive FDI, and innovate the labor market.

In parallel, India can strengthen its international manufacturing narrative by emphasizing the importance of their labor market and skillset, importing only what is needed to subsidize and incentivize its domestic manufacturing, regulatory reliability, digital infrastructure, and overall workforce capability.

Countries that successfully attract manufacturing investment often do so not only through cost advantages but also through trust, stability, and long-term economic credibility, which India has continuously shown. Rather than be a simple alternative to a surplus and cheap market, it can offer to share those same benefits of cheaper goods with the world, while providing a workforce ready to share their knowledge, skills, and capabilities for cheaper manufacturing with the globe, since India leads in the service industry.

Strategic Outlook

China's export surplus reflects structural changes in global industrial competition rather than a temporary trade imbalance.

For India, the challenge is to manage the pressures from cheaper imports while strengthening domestic manufacturing capacity. A strategic response therefore requires:

- Protecting vulnerable sectors from injurious competition
- Leveraging low-cost imports where they enhance domestic productivity
- Expanding upstream manufacturing capacity
- Positioning India as a trusted and resilient manufacturing partner

If managed effectively, the same forces currently creating industrial pressure could also contribute to the long-term expansion of India's manufacturing base.

However, several caveats remain. One of India's major disadvantages, as identified in the RAO framework, is its capital investment environment and labour market structure.

Addressing these issues may require increased government involvement and targeted spending to support industrial sectors. Strengthening institutional credibility, improving the business environment, and leveraging India's rapidly expanding digital economy can help offset structural disadvantages.

Rather than relying solely on existing sectors of demand, India can strategically utilise cheap Chinese imports to expand its own manufacturing specialisations.

Where China currently dominates through affordability created by surplus production, India can compete by building equally competitive price structures in sectors where previous trade policies had increased costs, thereby strengthening domestic manufacturing capacity while integrating into global supply chains.

